SellerMargin

Detailed Product Design Specification

Know what you make. Know what to charge.

Version 1.1 - Competitive-analysis update - August 14, 2026

Category	E-commerce / Seller Tools / Financial Utility
Primary platform	Responsive web application
Primary audience	Etsy, eBay, Shopify, Amazon Handmade, craft-fair, and independent online sellers
Business model	Freemium + one-time paid tools; optional Pro tier later
Architecture principle	Client-first, deterministic calculations, versioned fee profiles, near-zero marginal infrastructure cost

Revision focus

This revision incorporates qualitative competitive analysis of major eBay and Etsy fee/profit calculators. It strengthens fee trust/freshness, geography-aware fee profiles, seller-specific inputs, advertising/offsite-sale modeling, decision-oriented results, SEO calculator entry points, and implementation acceptance criteria for Codex.

1. Product Vision

SellerMargin is a fast, privacy-friendly seller profitability and pricing decision engine for small online sellers.

A seller enters selling price, marketplace, product/material cost, packaging, shipping, advertising, discounts, labor where relevant, and other transaction costs. SellerMargin immediately answers: How much money do I actually keep?

The product must then convert that calculation into a decision: What should I charge? What price reaches my target margin or target dollar profit? Can I afford a 20% sale? What is the largest discount I can run before violating my margin target? What happens if I offer free shipping? How does an ad-attributed sale change profit? Which marketplace has better transaction economics for this product?

The initial product requires no AI, no account, and no backend calculation engine. Core arithmetic remains deterministic and client-side.

2. Problem

Small sellers often mistake sale price minus product cost for profit. Marketplace fees, payment processing, advertising, shipping, packaging, discounts, and fulfillment can materially reduce actual transaction profit.

SellerMargin makes those economics visible before the seller commits to a price, promotion, shipping strategy, or advertising decision.

3. Product Positioning

Do not position SellerMargin as accounting software, an AI-powered e-commerce financial platform, or a complete seller business-management suite.

Primary position: Know what you make. Know what to charge.

Supporting copy: Calculate marketplace fees, shipping, advertising, materials, labor, and discounts - then see the price and promotion economics before you sell.

The calculators are acquisition surfaces. The underlying product is a seller profitability decision engine. The experience should feel closer to a high-quality calculator and pricing tool than traditional accounting software.

4. Why This Product Is Commercially Attractive

SellerMargin has favorable economics: strong search intent, near-zero marginal cost for core calculations, no LLM requirement, no storage requirement for free users, no mandatory accounts, relatively low regulatory complexity, and a value proposition directly connected to seller income.

Potential acquisition queries include Etsy fee calculator, Etsy profit calculator, eBay fee calculator, Etsy pricing calculator, craft pricing calculator, profit margin calculator, and free shipping calculator.

5. Primary Users

- Handmade sellers producing jewelry, candles, art, clothing, home decor, personalized goods, or similar products.
- Resellers buying inventory and reselling on marketplaces such as eBay.
- Small Shopify merchants who need pricing and margin tools without full accounting software.
- Craft-fair sellers comparing in-person and online economics.
- New sellers searching for guidance such as how much should I charge on Etsy?

6. Core Jobs To Be Done

- Tell me how much I actually make from this sale.
- Calculate current marketplace fees accurately and explain every fee component.
- Tell me what price I need for my desired profit margin or dollar profit.
- Tell me how much discount I can afford while maintaining my target margin.
- Show what happens when I run a specific promotion.
- Compare organic and ad-attributed sale economics.
- Tell me whether free shipping makes financial sense and what price preserves my economics.
- Compare transaction economics across marketplaces.
- Analyze my product catalog and identify products that need repricing.

7. Product Architecture Philosophy

SellerMargin should be client-first. The browser performs fee calculations, margin calculations, price simulations, marketplace comparisons, charts, and CSV parsing where practical.

The server should be reserved for payments, optional authentication, entitlement validation, and optional cloud persistence. This keeps operating costs extremely low.

8. Landing Page and First-Run Experience

Hero: Know what you make. Know what to charge.

Subheadline: Calculate fees, shipping, advertising, materials and discounts - then find the price that protects your margin.

Primary CTA: Calculate My Profit. Secondary CTA: Find My Price.

No signup is required. The calculator appears directly on the landing page with starter fields for marketplace, selling price, and product/material cost.

The first screen should immediately communicate three outcomes: actual profit, profit margin, and recommended price for a user-selectable target margin. Advanced controls must not obscure the initial path.

9. Instant Calculator and Context-Aware Inputs

Base inputs: selling price, marketplace, product/material cost, seller shipping cost, customer shipping charge, packaging, discount, advertising, and optional other costs. Seller shipping cost and customer shipping charge are always separate fields.

Marketplace-specific inputs appear conditionally. Etsy may request seller country/fee profile and offsite-ad status. eBay may request category, store subscription/tier, seller performance status where fee-relevant, promoted-listing rate, and other fee-relevant parameters. Shopify may request plan/payment arrangement. Custom supports user-defined fee rules.

Use seller-friendly labels. For handmade/Etsy contexts prefer labels such as Material & Labor Cost rather than forcing accounting jargon such as COGS. Advanced users may expand a detailed cost section.

After initial interaction, results update reactively without a Calculate button. Do not silently assume a generic fee when a required marketplace parameter is unknown; request the missing input or display an explicit assumption warning.

10. Primary Result and Decision Summary

The primary result area must display revenue, total marketplace/payment fees, total seller-entered variable costs, transaction contribution profit, and profit margin.

Immediately adjacent, show at least one actionable pricing recommendation: the approximate selling price required for the currently selected target margin. If a target profit is selected instead, show the required price for that target.

When relevant, surface a concise risk/decision callout such as Losing $3.42 per sale, A 20% discount drops margin to 8.1%, or Charge approximately $42.80 to preserve a 30% margin with free shipping.

The core result must be understandable without opening a detailed breakdown.

11. Profit Definitions

Revenue: money received from the customer before costs.

Gross profit: revenue minus direct product cost.

Net contribution profit: revenue minus marketplace fees and seller-entered variable costs.

Avoid calling the result accounting or tax net income. Include a tooltip explaining that SellerMargin calculates transaction-level profit and does not replace accounting or tax records.

12. Visual Money Flow

Provide a waterfall-style visualization that starts with sale revenue and subtracts fees, materials, packaging, shipping, and other costs until the final profit is reached.

This should make the calculation intuitive even for users without financial training.

13. Marketplace Fee Engine and Trust Metadata

Represent marketplace fees through a versioned configuration model rather than scattered constants.

Each fee configuration must include marketplace, seller country/region where applicable, currency, effective date or effective period, fee definition/formula, eligibility conditions, official source URL, source title, last-verified date, and configuration version.

Marketplace fee rules change. The UI must expose a visible verification status such as Fees verified Aug 2026 and provide a View fee assumptions interaction.

The calculation engine must never invent or silently generalize a marketplace fee when the official rule depends on category, seller status, store plan, geography, payment arrangement, ad attribution, or another parameter. Unknown cases must be identified as assumptions or unsupported combinations.

Preserve historical versions so calculations can be reproduced after marketplace rule changes.

14. Etsy Calculator Requirements

Support listing fees, transaction fees, payment-processing fees, shipping-related fee treatment, currency/market-specific payment behavior where supported, regulatory operating fees where applicable, and advertising/offsite fees.

Offsite Ads must be modeled explicitly as a sale-source scenario. Support the applicable Etsy offsite-ad fee tier(s) from current official Etsy documentation rather than hard-coding percentages from this specification.

Allow users to compare Organic Sale versus Offsite-Ad Sale using identical product economics so the incremental acquisition cost and resulting profit/margin are obvious.

Exact formulas and eligibility rules must be implemented from current official Etsy documentation at development time and covered by regression fixtures.

15. eBay Calculator Requirements

Support product category, sale price, shipping charged, seller shipping cost, store subscription/tier where fee-relevant, seller status where fee-relevant, promoted-listing/ad rate, and other inputs required by current official eBay rules.

Do not model eBay as a universal percentage. Category thresholds, store/non-store schedules, fixed per-order charges, seller-level surcharges/discounts, promoted listing fees, international fees, and other conditional rules must be supported only when verified from current official documentation.

Do not add a separate payment-processing fee unless current official eBay documentation explicitly requires one for the selected fee profile. The result must show exactly which fee rules were used.

Exact formulas must come from current official eBay documentation and must have regression fixtures based on official examples or independently calculated cases.

16. Shopify Calculator

Support relevant plan/payment arrangement, payment processing, transaction fees where applicable, product cost, fulfillment, and advertising.

Do not model Shopify as having one universal fee structure.

17. Custom Marketplace

Allow users to enter a platform percentage, fixed transaction fee, and listing fee so SellerMargin remains useful for unsupported marketplaces.

18. Pricing Calculator - Target Margin

Reverse the normal calculation. Given product/material cost, packaging, shipping, marketplace fee profile, and a target margin, calculate the approximate minimum selling price required to achieve that margin.

This is a primary product differentiator and should be available directly from the main calculator rather than hidden in a secondary tool.

Show estimated profit, resulting margin, and the delta from the user's current price. If multiple price points are plausible due to tiered fees or rounding, use a deterministic search and return the lowest price that satisfies the target under the selected rules.

19. Target Profit Mode

Allow the seller to enter a desired dollar profit per item and calculate the selling price required to achieve it under the selected marketplace and costs.

20. Discount Simulator

Compare normal-price economics against 10%, 15%, 20%, 25%, and custom discounts.

Show revenue, total fees, profit, margin, profit reduction, and approximate additional sales required to generate the same contribution profit as the undiscounted scenario.

If the user has set a target margin, show the maximum discount that still preserves that target and clearly label discounts that violate it.

21. Break-Even Discount

Calculate the maximum approximate discount before transaction-level profit reaches zero, based on the seller's entered costs and applicable fee rules.

22. Free Shipping Simulator

Compare customer-paid shipping with free shipping under the same product economics.

Show at minimum: current profit/margin, free-shipping profit/margin without a price change, and the approximate selling price required to preserve the user's current or target margin after absorbing shipping.

Explain that free shipping is a pricing strategy, not free fulfillment.

23. Advertising Simulator

Allow ad spend, attributed sales, and average order value. Calculate revenue, advertising spend, product/fulfillment costs, marketplace fees, ROAS, and - more importantly - profit after advertising.

24. Marketplace Advertising and Sale-Source Scenario

Where marketplace advertising fees are conditional, compare organic-sale profit with ad-attributed-sale profit using the same base transaction.

For each scenario show advertising/acquisition cost, total fees, transaction profit, margin, and profit delta versus organic.

The user should be able to answer: Is this sale still worth it after the marketplace's advertising fee?

25. Marketplace Comparison

Allow one product to be compared across supported marketplaces. Show sale price, platform/payment fees, product cost, shipping, transaction profit, and margin.

Clearly state that this compares transaction economics only; it does not account for differences in customer acquisition, marketplace demand, or conversion.

26. Monthly Income Goal Calculator

Given profit per product and a monthly profit target, calculate approximate sales required per month, week, and day.

27. Hourly Earnings

For handmade products, optionally capture production time and calculate effective transaction profit per production hour.

28. Labor Cost Mode

Allow advanced users to specify a desired hourly labor rate and production time. Treat the resulting labor cost as part of product economics when calculating target prices and margins.

29. Batch Product Analyzer

This is the strongest initial paid feature.

Allow CSV upload containing fields such as SKU, price, product cost, packaging, and shipping. Process locally where practical.

Return a table containing revenue, fees, costs, profit, margin, and target-price information for every product.

30. Profitability Flags

Allow the seller to configure a target margin. Classify products relative to that target using labels such as Above target, Below target, and Negative profit.

Do not impose universal profitability thresholds.

31. Pricing Opportunities

Identify products below the seller's target margin and calculate the approximate price required to reach the target, while explicitly noting that price changes may affect demand.

32. What-If Mode

Create a global scenario engine. Examples: shipping increases 10%, marketplace fee increases 1%, store- wide 20% sale, material costs increase 15%, or prices increase 8%.

Immediately recalculate product or catalog economics. This should evolve SellerMargin from a calculator into a lightweight business simulator.

33. Scenario Comparison

Allow multiple named scenarios such as Current, Holiday Sale, Free Shipping, and Price Increase.

Compare price, profit, margin, and relevant costs side by side.

34. Product Saving

Free users should not require an account. Persist saved calculations locally through localStorage or IndexedDB.

Use messaging such as: Saved products stay in this browser unless you choose cloud sync.

35. Shareable Calculation

Provide Copy Calculation and Copy Decision Summary actions that produce a human-readable text summary including marketplace, price, major costs, total fees, profit, margin, and selected target-price/scenario result.

If URL-encoded sharing is implemented, warn users before embedding potentially sensitive business economics in a URL. Do not include private calculation data in analytics events.

36. Paid Product: Seller Profit Pack

Free: unlimited individual calculations including profit calculator, marketplace fees, margin, pricing calculator, discount simulator, free-shipping simulator, and monthly sales goal.

Seller Profit Pack - recommended initial price: $7 one-time.

Paid features: batch CSV analysis, catalog profitability report, bulk target-price recommendations, what- if scenarios, downloadable CSV/Excel report, and printable PDF summary.

37. Why Keep The Calculator Free

The calculator is the acquisition channel. Users arriving from search should receive the answer immediately.

Do not require account creation to see basic results. Monetize workflow acceleration and batch analysis rather than basic arithmetic.

38. Potential Pro Tier Later

Only introduce recurring pricing after observing recurring usage.

Possible SellerMargin Pro: approximately $6/month or $49/year, with saved cloud catalog, sync, unlimited batch analysis, historical margin tracking, supplier cost changes, multiple stores, and monthly dashboards.

Do not build this for MVP.

39. No AI In MVP

Do not use an LLM merely to make the product appear AI-enabled.

The core problem is mathematical. Deterministic TypeScript is cheaper, faster, more accurate, explainable, and testable.

This is an intentional product and engineering decision.

40. Optional Lightweight AI Later

Potential AI use cases: mapping unusual CSV column names to SellerMargin fields, converting plain- English scenario requests into deterministic parameters, and explaining why one product is less profitable than another.

AI may interpret intent or explain structured results. It must not be responsible for financial arithmetic.

41. Fee Accuracy Is a Product Feature

Marketplace fee accuracy is a core trust dependency and a visible product feature, not an implementation detail.

Every marketplace configuration exposes marketplace, fee name, rate/formula, eligibility conditions, effective date, official source, last-verified date, and configuration version.

The UI includes a compact verification badge/status and a View fee assumptions panel. A user must be able to trace the displayed total marketplace fee to its individual components.

If a fee profile is older than a configured review interval or a marketplace announces a change with a future effective date, mark the configuration for review. Do not claim Updated or Current unless the source has actually been re-verified.

42. Fee Rule Versioning and Release Process

Preserve historical fee-rule versions instead of overwriting them. Version identifiers should include marketplace and effective period where practical.

Every fee-rule change requires: source verification, formula update, regression fixtures, boundary tests, a recorded last-verified date, and a changelog entry.

A marketplace adapter may only reference one explicit configuration version at runtime. This keeps calculations reproducible and prevents hidden changes.

43. Taxes

Distinguish marketplace-collected/remitted sales tax from seller income taxes.

Do not calculate income tax in MVP. State clearly that SellerMargin calculates transaction economics and does not calculate income taxes.

44. Currency, Geography, and Fee Profiles

Launch pricing may remain USD-first, but the fee engine architecture must be geography-aware from the start because marketplace/payment fees can vary by seller country or region.

For MVP, support the United States as the verified production fee profile for Etsy and eBay unless additional countries are fully implemented and tested. The UI must explicitly label the selected seller country/fee profile rather than implying worldwide applicability.

Future expansion can add CAD, GBP, EUR, AUD and country-specific marketplace/payment/regulatory behavior without rewriting the core engine.

45. Mobile UX

Mobile is first-class. Keep the initial form compact: selling price, marketplace, product cost, shipping, and prominent profit/margin results.

Place less common fields behind a More Costs control.

46. Desktop UX

Use a split layout with inputs on one side and live results, margin, money flow, and pricing recommendations on the other.

47. Interaction Quality

Do not require form submission. Use reactive calculation.

Every input change should update profit, margin, breakdown, visualization, and target-price results with effectively instant perceived latency.

48. URL Structure and Calculator Entry Points

Recommended routes: /, /etsy-fee-calculator, /etsy-profit-calculator, /ebay-fee-calculator, /ebay-profit-calculator, /pricing-calculator, /discount-calculator, /free-shipping-calculator, /craft-pricing-calculator, /profit-margin-calculator, and later /compare-marketplaces.

Fee-calculator routes satisfy explicit search intent but should lead naturally into SellerMargin's differentiated pricing and profitability decisions. Profit-calculator routes can expose the richer cost model by default.

Each route must contain real interactive functionality, clear fee assumptions, and contextual content rather than thin SEO pages.

49. SEO and Acquisition Strategy

Target high-intent queries across three layers: fee intent (Etsy fee calculator, eBay fee calculator), profit intent (Etsy profit calculator, eBay profit calculator), and decision intent (Etsy pricing calculator, free shipping calculator, target margin calculator, how much should I charge).

Each marketplace-specific page should answer the searcher's immediate question above the fold, then expose SellerMargin's differentiated actions: Find my target price, Test a discount, Test free shipping, and Compare ad-attributed profit.

Use structured data only where appropriate and truthful. Never publish a Current/Updated year in page copy unless the marketplace fee source has actually been verified for that period.

50. Programmatic SEO - Use Carefully

Future category-specific pages such as how to price candles, handmade jewelry, crochet items, or soap may reuse the calculator with meaningful examples.

Do not generate hundreds of low-quality AI pages.

51. Privacy

Basic calculations should never need to leave the browser.

Prominently state: Your pricing data stays on your device.

Process batch CSV locally whenever technically practical to avoid storing SKUs, margins, costs, supplier economics, or other sensitive seller data.

52. Analytics and Privacy-Safe Product Metrics

Track behavioral events such as calculator view, marketplace selection, fee-assumptions opened, advanced-cost usage, target-margin usage, target-profit usage, discount simulation, free-shipping simulation, ad-sale comparison, marketplace comparison, batch-tool view, batch upload start, checkout, and purchase.

Do not send selling price, product cost, profit, SKU, catalog contents, supplier economics, or user-entered scenario values to general analytics.

Key product metrics should include calculator completion, percentage using a decision feature after seeing profit, repeat local usage, Profit Pack CTA click-through, checkout start, and purchase conversion.

53. Performance

Target an essentially instant calculator load, minimal JavaScript, no network request for calculations, and offline capability after initial load if PWA support is implemented.

54. Accessibility

Target WCAG AA.

Do not communicate financial status through color alone. Pair visual treatment with explicit labels such as Above target, Below target, and Negative profit.

55. PWA Potential

SellerMargin is a strong PWA candidate. Individual calculations should eventually work offline after installation.

This is useful at craft fairs, supplier stores, shipping counters, and inventory-planning sessions.

56. Export

Paid batch users should be able to export CSV with SKU, selling price, total fees, total costs, profit, margin, and target price.

Support formatted Excel and a printable PDF catalog profitability summary.

57. Testing and Accuracy Acceptance Requirements

Maintain comprehensive unit and regression tests because business logic is deterministic.

For each marketplace test zero price, normal sale, customer-paid shipping, seller shipping, free shipping, discounts, ad-attributed sales, fixed fees, percentage fees, tier boundaries, store/category/status differences, rounding, negative-profit cases, target-margin reverse pricing, and break-even calculations.

Every production fee profile must have a regression fixture set tied to the verified official source and configuration version. Include at least one independently hand-calculated golden case per major fee path.

Add tests proving that unsupported or missing fee parameters do not silently fall back to a generic rate. They must return an explicit assumption/validation state.

Calculation changes must not ship if they alter existing golden results without an intentional fee/configuration version change.

58. Precision

Use integer minor currency units internally where practical, e.g. $35.00 represented as 3500 cents.

Avoid floating-point artifacts and apply marketplace-specific rounding rules where required.

59. Calculation Explainability and Assumptions

Every result is inspectable. Clicking marketplace fees reveals each component, the base amount used, the applied formula/rate, rounding, and the associated fee-profile metadata.

Provide a View fee assumptions panel with seller country/region, marketplace plan/store status, category or payment arrangement where relevant, effective date, and last verification date.

Do not present unexplained magic totals. Any user-visible estimate or approximation must be labeled as such.

60. Validation, Warning, and Error States

If costs exceed revenue, show a clear message such as You're losing $3.42 per sale.

If selling price is zero, do not calculate an invalid margin; ask the user to enter a selling price.

If a marketplace fee cannot be determined without additional context, identify the missing parameter and block a misleading exact total. Where a reasonable user-selected assumption is allowed, label the result Estimated and show the assumption.

If a fee profile is not verified for the user's selected country/marketplace combination, clearly state that the combination is unsupported rather than applying the U.S. profile.

61. Technical Stack

- Frontend: React + TypeScript.
- Calculation engine: pure TypeScript module/package separated from UI.
- Hosting: inexpensive edge/static platform such as Cloudflare Workers/static assets.
- Payments: Stripe.
- Analytics: privacy-conscious.
- No database is required for MVP.

62. Calculation Engine Architecture

Recommended conceptual flow: TransactionInput -> FeeProfileResolver -> MarketplaceFeeEngine -> CostEngine -> ProfitEngine -> MarginEngine -> PricingSolver -> ScenarioEngine -> CalculationResult.

The UI must never implement marketplace formulas directly. FeeProfileResolver is responsible for selecting a specific verified fee configuration from marketplace, geography, category, store/plan/status, advertising source, and other relevant parameters.

CalculationResult includes fee metadata and assumption/warning state in addition to numeric results.

63. Marketplace Adapter Interface

Define a clean marketplace-calculator abstraction accepting normalized transaction input plus an explicit fee-profile context and returning a fee breakdown, applied configuration version, source metadata, assumptions, and warnings.

Implement adapters for Etsy, eBay, Direct Sale, and Custom in MVP. Shopify may remain post-MVP unless implementation is already substantially complete.

Adapters must fail safely when required fee context is missing; they must not fall back to unrelated marketplace defaults.

64. Scenario Engine

A scenario should transform base inputs and then call the same deterministic calculation engine.

Do not duplicate financial formulas for individual scenarios.

65. Zero Backend Mode

The entire free application should continue to calculate if the backend is unavailable.

Only paid entitlement, optional sync, and other server-dependent features should require backend interaction.

66. Security

Implement a strong Content Security Policy, dependency auditing, secure payment redirects, webhook signature verification, and ensure secrets never enter the client bundle.

CSV handling must protect against oversized/malformed files and spreadsheet formula injection in exported files.

67. Monetization Validation

Before building the paid batch system, launch free calculators with an Analyze your entire catalog - $7 CTA.

Measure clicks and checkout intent. If demand is weak, avoid spending weeks on batch workflows.

68. MVP Scope - Updated

- Marketplace support: Etsy US, eBay US, Direct/Custom. Additional geography only if fully sourced and tested.
- Core calculator: transaction profit, margin, transparent fee breakdown, visible fee verification status, and fee-assumption inspection.
- Decision tools: target-margin price, target-dollar-profit price, discount simulator including target-margin-safe discount, free-shipping simulator with preserve-margin price, and monthly sales goal.
- Etsy: explicit organic versus offsite-ad sale scenario using current official rules.
- eBay: category/store/status/promoted-listing inputs when required by current official rules.
- UX: context-aware seller-friendly fields, mobile/desktop layouts, local persistence, reactive calculations.
- Growth: /etsy-fee-calculator, /etsy-profit-calculator, /ebay-fee-calculator, /ebay-profit-calculator and decision-tool routes with non-thin interactive content.
- Monetization test: Seller Profit Pack CTA; batch build remains gated by demand evidence.

69. Explicit MVP Non-Goals

- Do not build marketplace OAuth integrations, bookkeeping, inventory management, order management, shipping labels, tax filing, invoices, supplier management, CRM, AI chatbot, native applications, team collaboration, or subscription billing.
- Do not build a browser extension in MVP. Consider it later only after repeat calculator usage and marketplace-browser workflows are validated.
- Do not claim global fee support when only U.S. fee profiles are verified.
- Do not add an LLM to financial arithmetic or fee resolution.

70. Development Milestones - Updated

- Milestone 1 - Core Math + Pricing Solver: revenue, costs, profit, margin, target price, precision utilities, exhaustive tests.
- Milestone 2 - Fee Profile / Trust Layer: versioned schemas, geography support, source metadata, verification status, assumptions/warnings UI contract.
- Milestone 3 - Etsy US Adapter: current official fee model including organic/offsite-ad scenarios and regression fixtures.

- Milestone 4 - eBay US Adapter: category/store/status/promoted-listing behavior required by current official rules and regression fixtures.
- Milestone 5 - Main Calculator UI: responsive context-aware inputs, primary profit/margin/target-price summary, expandable fee breakdown.
- Milestone 6 - Decision Simulators: discount, target-margin-safe discount, free shipping, target profit, monthly sales goal.
- Milestone 7 - SEO Entry Pages: Etsy/eBay fee and profit calculator routes plus pricing/discount/free-shipping tools.
- Milestone 8 - Monetization Validation: Profit Pack CTA and funnel instrumentation.
- Milestone 9 - Batch Tool: build only after evidence of demand.
- Milestone 10 - Marketplace Comparison and broader fee profiles: post-MVP unless already implemented.

71. MVP Definition of Done - Updated

SellerMargin is ready when a U.S. Etsy or eBay seller can open the site on a phone, select the marketplace and required fee context, enter price and meaningful costs, and immediately understand revenue, total fees, transaction profit, and margin.

The seller can inspect exactly how marketplace fees were calculated, see the official-source metadata and last-verified date, and is never given a silently guessed fee for an unsupported or ambiguous configuration.

The seller can set a target margin or dollar profit and receive an approximate required selling price, test a discount, and test free shipping without creating an account or waiting for server/AI processing.

For Etsy, the seller can compare organic versus applicable offsite-ad economics. For eBay, category/store/status/ad inputs are honored where relevant to the current official rules.

All production fee paths pass versioned regression fixtures and key pricing/scenario golden tests.

72. Business Experiment

Build and deploy the free calculator first. Add Analyze Your Entire Catalog - $7 as the paid CTA.

Measure the funnel from calculator visitors to Profit Pack clicks, checkout starts, and purchases. This provides real willingness-to-pay evidence before substantial paid-feature development.

73. Potential Revenue Paths

Transactional: $7 Seller Profit Pack - preferred initial model.

Subscription: approximately $49/year SellerMargin Pro - only after recurring usage is demonstrated.

Affiliate: potentially shipping, packaging, e-commerce, or business-service partners, provided affiliate relationships never influence calculator outputs.

74. Portfolio Story

SellerMargin demonstrates domain modeling, financial precision, marketplace adapter architecture, complex reactive state, scenario modeling, visualization, performance, client-side privacy, regression testing, and product judgment.

A key engineering story is intentionally not using an LLM for deterministic financial calculations.

75. What Makes SellerMargin Defensible

The long-term differentiation is not merely a fee or profit calculator; it is a trusted what-if and pricing engine for small sellers.

A seller defines product economics once and immediately explores target price, discounts, free shipping, material/shipping cost changes, ad-attributed sales, marketplace changes, and target-margin scenarios.

Trust is part of the moat: fee formulas are versioned, source-linked, last-verified, explainable, and regression-tested rather than treated as undated constants.

The product should become more useful as the seller moves from a one-off fee question to repeated pricing decisions, without becoming full accounting software.

76. Recommended Product Identity

Working name: SellerMargin.

Other names worth testing include TrueMargin, KeepRate, ActualProfit, MarginKit, and SellWise.

For an SEO-first launch, SellerMargin is a strong working name because the purpose is immediately understandable.

77. Final Product Test

The product succeeds when a seller enters a real product and discovers something actionable they did not realize - for example, that a promotion destroys margin, an offsite-ad sale barely breaks even, free shipping requires a higher price than expected, or a target margin requires a materially different price.

The key user reactions should be: I didn't realize that, and Now I know what to charge.

78. Recommended Build Priority

Among the initial product concepts, SellerMargin has the lowest cost and fastest path to launch.

It is a strong candidate for testing the complete idea -> build -> SEO -> traffic -> first-dollar loop before investing heavily in document-heavy AI SaaS products.

79. Competitive Benchmark Requirements

SellerMargin should intentionally outperform basic fee calculators on decision usefulness while matching or exceeding the strongest competitors on trust and clarity.

Required benchmark behaviors: fast no-signup calculation; seller-friendly terminology; explicit seller geography/fee profile when fees vary; advertising/offsite-sale modeling; profit and margin; fee component breakdown; target-price recommendation; discount/free-shipping decision support; source-linked fee assumptions; and visible verification freshness.

Do not copy competitor marketing clutter or turn the calculator page into a broad SaaS navigation surface. The calculator remains the primary interaction.

80. Trust UI Requirements

Display a compact status near results such as Fee rules: eBay US - verified Aug 2026. The exact month/year derives from configuration metadata.

Provide View fee assumptions with marketplace, seller country, category/store/plan/status where relevant, fee components, effective date, official source, and last verification date.

When a rule is estimated, user-overridden, or unsupported, replace the verified state with a clearly different Assumption or Unsupported state. Never use green/current language for unverified profiles.

81. Decision Cards

The result experience should contain compact, composable decision cards rather than only a long fee table.

Minimum recommended cards: Actual profit and margin; Target-margin price; Promotion impact when a discount is selected; Free-shipping impact when enabled; Ad-attributed impact when applicable.

Cards should show the before/after numeric delta and a concise interpretation. Do not use prescriptive language about demand, sales velocity, or marketplace success because SellerMargin models transaction economics, not market demand.

82. Acceptance Criteria for Marketplace Fee Profiles

A fee profile is production-ready only when: (1) every material formula comes from an official marketplace/payment source; (2) eligibility conditions are represented; (3) source metadata and last-verified date are recorded; (4) regression fixtures cover normal and boundary cases; (5) at least one independent golden calculation is documented; and (6) UI assumptions are defined for any user-selectable parameters.

If any criterion fails, the fee profile must remain experimental/unsupported and must not be presented as a verified exact calculator.

83. Post-MVP Distribution Experiments

After core calculators demonstrate repeat use, evaluate a lightweight browser extension that surfaces SellerMargin profitability while a seller is researching/listing products on supported marketplaces.

This is not an MVP commitment. Validate demand through repeat usage, saved calculations, and user feedback before investing in extension permissions, marketplace DOM integrations, or maintenance burden.

84. Codex Implementation Handoff Rules

Codex should treat this document as the source of truth for product behavior, but marketplace fee percentages and formulas must be re-verified against current official marketplace documentation before implementation or modification.

When existing code conflicts with these requirements, prefer refactoring toward the deterministic engine, fee-profile metadata, and scenario architecture rather than patching formulas into UI components.

Before completing a marketplace change, Codex should add or update regression fixtures, golden calculations, and visible fee-assumption metadata. No fee-related PR is complete with UI changes alone.

Preserve client-first behavior and avoid introducing accounts, databases, AI arithmetic, or backend dependencies for free calculations unless a requirement explicitly calls for them.

Appendix A - Core Calculation Example

Line item	Example
Sale price	$35.00
Marketplace/payment fees	-$4.32
Product cost	-$9.00
Packaging	-$1.50
Shipping	-$6.00
Transaction profit	$14.18
Profit margin	40.5%

Illustrative only. Production examples must use the active verified marketplace fee profile and configuration version.

Appendix B - Guiding Engineering Rule

AI interprets; deterministic code calculates. If lightweight AI is introduced later, it may map inputs, interpret natural-language scenarios, or explain structured results. Marketplace fees, profit, margin, pricing, and scenario arithmetic remain deterministic, versioned, source-linked, explainable, and testable.